

Tencent (0700)

Weixin agent turns AI commerce from optionality into milestones

Ten months ago, we framed Weixin agentic commerce as a three-level opportunity ([Tencent: Analyzing Tencent's potential with AI agent](#)): 1) a better lead-generation tool; 2) a semi-marketplace built on broader merchant supply; and 3), a dominant top-of-funnel commerce platform. That framework suggested RMB69bn to RMB426bn of potential 2030 incremental revenue, but it was largely conceptual. The key uncertainty was not whether Weixin had traffic, merchants, mini programs, and payments. It did. The uncertainty was whether an AI agent would actually ship inside Weixin, what level of transaction authority it would have, and whether Tencent could build agent-callable supply without relying on incumbent ecommerce platforms opening inventory. With Tencent starting to beta test the Weixin agent in June 2026, our conviction in our three-level value creation framework has increased significantly. The agentic service is now visible enough to separate what already exists from what still needs to happen. This turns the Weixin agent from undated AI optionality into a staged rollout with observable milestones. **In our view, the first stock-market impact from the Weixin agent launch is more likely to come through a lower risk premium and a higher multiple than through near-term EPS.**

- **In our view, the Weixin agent can create value in three increasingly ambitious ways.** Level 1 is a better conversion engine inside Weixin: the agent helps consumers find, compare, and prepare purchases inside mini programs, which should improve conversion for merchants and create more monetizable traffic for Tencent. We raise our 2030 revenue estimate of Level 1 value creation from RMB69bn to RMB90bn, split between RMB65bn from today's assisted-funnel use case and RMB25bn from future closed-loop transactions, which still require AI wallet integration with primary Weixin Pay. Level 2 is a broader merchant-supply opportunity: if mini-program merchants are migrated into agent-callable skills or rebuilt in AI-native formats, Weixin can become a more complete transaction layer without relying only on JD, PDD, Vipshop, or other platforms opening up inventory. We keep Level 2 revenue at RMB114bn but raise its probability. Level 3 is the blue-sky case: Weixin becomes a dominant starting point for online consumption and captures a larger share of merchant lead-generation budgets. We keep this scenario at RMB426bn but credit only 10%, given risks around ad cannibalization, recommendation neutrality, user trust, and regulation.
- **Probability-weighted, our revised framework implies RMB126bn of 2030 incremental revenue and roughly RMB88bn of incremental operating profit at a 70% steady-state margin.** That is equivalent to about 18% upside to our 2030 operating profit estimate, with no FY26 agent revenue included. The debate over the next six to 12 months is therefore whether the June beta testing of Weixin agent provides enough evidence for investors to stop assigning zero value to the roadmap. We think it does, provided Tencent can show progress on user base expansion, payment integration, agent-originated GMV or MAU disclosure, merchant-skill migration, and stable advertising revenue per user in agent-enabled cohorts.

Overweight

0700.HK, 700 HK

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Limited

Investment summary: from concept to testable rollout

Our original agentic-commerce report made a long-term claim: social platforms with payments and embedded mini-program ecosystems should become more valuable when GenAI agents improve the match between user intent and merchant supply. Weixin was the clearest example because it has already combined daily engagement, payments, mini programs, merchant relationships, and a large base of in-app ecommerce and local-service transactions.

The challenge was that our original report had to value a product path that investors could not yet observe. It identified three levels of value creation, but the evidence base was thin. The June beta testing of Weixin agent does not prove the whole thesis. It does something narrower but more useful for investors: it tells us where the framework can now be tested.

Our old framework had three levels of value creation by Weixin agent:

1. **Level 1: better traffic and lead generation.** AI improves the relevance of recommendations, increases conversion, and allows Tencent to monetize ecommerce and local-service traffic more efficiently. The original Level 1 scenario implied RMB69bn of 2030 incremental revenue.
2. **Level 2: semi-marketplace economics.** Weixin becomes more than a traffic source by assembling broader merchant supply and optimizing assortment. The original Level 2 scenario implied RMB114bn of 2030 incremental revenue.
3. **Level 3: top-of-funnel dominance.** Weixin becomes the starting point for a large share of online consumption decisions and captures a meaningful share of merchant lead-generation budgets. The original Level 3 scenario implied RMB426bn of 2030 incremental revenue.

The June beta testing of Weixin agent changes the framework in three ways:

1. **Level 1 is no longer one bucket.** The beta already supports assisted-funnel use cases, but it does not yet support full transaction autonomy. We therefore split Level 1 into assisted funnel and closed-loop transactions.
2. **Level 2 has a more controllable supply path.** Our original version depended heavily on incumbent ecommerce platforms opening up supply to Weixin. The revised version can also built from Weixin's own mini-program merchant base.
3. **Level 3 is still possible but not yet investable at face value.** A dominant commerce agent would create powerful economics, but the unresolved issues of ad cannibalization, recommendation neutrality, user trust, and regulation justify a heavy probability discount.

What did not change:

1. **No FY26 revenue is included from Weixin agent.** The opportunity remains long-dated.
2. **The rating and price target are unchanged.** We remain Overweight with a HK\$690 price target based on 21x 2026E PE.
3. **The near-term P&L debate is cost, not revenue.** New AI product opex and capex are front-loaded, while commerce-agent revenue is back-end loaded.
4. **The blue-sky case remains heavily discounted.** We do not ask investors to pay for Level 3 today.

One-page bridge: how the old framework becomes the revised framework

The most important structural change in this report is that we now anchor each level to a specific product question. That should make the framework easier to track.

Table 1: Mapping the original framework to the revised framework, anchored to key questions

Question investors should ask	Original framework	What June beta testing of Weixin agent clarifies	Revised model impact
Can an agent inside Weixin improve discovery and order construction?	Level 1 assumed AI would make Weixin a more efficient traffic source	Current beta version can operate selected mini programs and help construct order flows	Level 1a assisted-funnel revenue of RMB65bn is now better supported
Can the agent complete transactions end-to-end?	Original Level 1 did not separate lead generation from transaction completion	Checkout still returns to the user; AI wallet remains separate from primary Weixin Pay	Add Level 1b closed-loop revenue of RMB25bn, but keep it gated on payment integration
Can Tencent build agent-callable supply without relying on rival platforms?	Level 2 depended on JD, PDD, Vipshop and other platforms opening assortment	Auto Mode, Custom Mode, and natural-language mini-program generation create a Tencent-controlled supply path	Keep Level 2 revenue at RMB114bn, but raise probability to 30%
Can Weixin dominate the commerce funnel?	Level 3 assumed Weixin could capture a meaningful share of merchant lead-generation budgets	Beta does not resolve ad cannibalization, trust, neutrality, or regulation	Keep Level 3 revenue at RMB426bn, but credit only 10%
Can investors track the roadmap?	The original thesis was difficult to falsify in the near term	User base, AI wallet integration, agent-originated GMV, merchant migration, and cohort ad performance are observable	The valuation argument shifts from abstract optionality to milestone-based rerating

Source: J.P. Morgan estimates.

Revised scenario framework

Our revised framework adds an explicit below-base case, splits Level 1 into two components, raises Level 2 probability, and keeps Level 3 heavily discounted.

Table 2: Revised framework, incremental revenue generation from agentic commerce monetization

Scenario	Plain-English meaning	Current evidence	2030E revenue	Probability	Weighted revenue
Below base	Agent is useful but monetization remains limited	Possible if agent remains a utility with low transaction attach	RMB45bn	10%	RMB5bn
Level 1a: assisted funnel	Agent helps users discover and construct orders, but users still check out manually	Supported by current beta	RMB65bn	Included in Level 1	Included below
Level 1b: closed-loop transactions	Agent completes transactions through integrated payment	Not yet supported; requires AI wallet integration	RMB25bn	Included in Level 1	Included below
Level 1 total	Better discovery plus partial closed-loop monetization	Product evidence supports 1a; 1b has a clear gate	RMB90bn	50%	RMB45bn
Level 2	Weixin builds agent-callable merchant supply inside mini programs	Probability higher after June mini-program AI updates	RMB114bn	30%	RMB34bn
Level 3	Weixin becomes the dominant commerce funnel	Possible but constrained by ad cannibalization, trust, and regulation	RMB426bn	10%	RMB43bn
Total				100%	RMB126bn

Source: J.P. Morgan estimates.

At a 70% steady-state incremental margin, RMB126bn of weighted revenue implies approximately RMB88bn of incremental operating profit, or about 18% upside to our 2030 operating profit estimate.

What the June beta testing of Weixin agent actually changed

The June beta testing of Weixin agent answers three questions that were open when we first wrote about Weixin agentic commerce.

First, would an agent product actually ship inside Weixin? The answer is now yes, at least in beta. Local media hands-on reviews indicate that Weixin agent began beta testing on June 20, 2026 ([link](#)). The product is embedded in Weixin and can operate selected mini programs. This does not prove monetization, but it makes the product path observable.

Second, how much transaction authority does the agent have? The answer is limited but meaningful. The agent can help with discovery, selection, and order construction. However, consequential actions still require confirmation, checkout is handed back to the user, and the AI wallet is separated from the user's primary Weixin Pay wallet. This design supports assisted-funnel monetization today, but not yet autonomous transaction monetization.

Third, can Tencent build supply without relying on incumbent ecommerce platforms? The answer now looks more positive. Tencent's mini-program AI policy introduces Auto Mode, which can migrate existing mini programs into agent-callable skills, and Custom Mode, which supports AI-native rebuilds. Natural-language mini-program generation also creates a path for long-tail supply to emerge inside Weixin. This reduces the dependence of Level 2 on JD, PDD, Vipshop, or other platforms opening up assortment.

These developments do not remove the need for adoption, cost discipline, and monetization disclosure. But they make the framework less speculative and easier to falsify.

Table 3: Developments of Weixin agent and its implication/estimated impact on our framework

New development	What it tells us	Estimate impact
Weixin agent beta begins	Product exists and can be tested	Raises confidence in Level 1
Agent can operate selected third-party mini programs	Weixin can compress discovery and order construction	Supports assisted-funnel revenue
Checkout still returns to the user	Product is not yet a full transaction agent	Keeps closed-loop revenue gated
AI wallet remains separate from primary Weixin Pay	Payment integration is the key next milestone	Makes Level 1b conditional
Auto Mode and Custom Mode for mini programs	Tencent can build agent-callable supply inside Weixin	Raises Level 2 probability
Natural-language mini-program generation	Long-tail supply can be created inside the consumer graph	Supports Level 2 over time
RMB36bn new AI product opex floor for 2026	Cost risk is front-loaded	Keeps FY26 EPS debate separate from 2030 upside

Source: Media report ([link](#)), J.P. Morgan estimates.

Level 1: from one funnel bucket to two monetization surfaces

Last year's Level 1 was simple: if AI agents make Weixin a more efficient lead-generation tool, Tencent should be able to monetize ecommerce and local-service traffic at higher effective rates. We estimated RMB68.9bn of 2030 incremental revenue, consisting of payment revenue, ecommerce lead-generation revenue, and local-service lead-generation revenue.

The June beta testing of Weixin agent shows that this was directionally right but too broad. It combines two different economic models that should now be separated.

Level 1a is assisted funnel. The agent helps users discover, compare, and construct orders inside mini programs, but the user still confirms key actions and completes checkout manually. This is the part of the model the beta already supports. It is valuable because it reduces discovery friction and should improve conversion, but it does not yet turn the agent into the party that completes transactions.

Level 1b is closed-loop transaction. The agent completes transactions end-to-end through integrated payment. This could support a higher monetization rate because Tencent would be facilitating not only lead generation but also transaction completion. However, it requires AI wallet integration with primary Weixin Pay and fewer checkout confirmation steps. That has not happened yet.

This distinction is the main reason we raise Level 1 revenue from RMB68.9bn to RMB89.9bn. We keep RMB65.4bn of assisted-funnel revenue as the supported component and add RMB24.5bn of closed-loop local-service transaction revenue as the conditional component.

Table 4: Revenue generation potential for level 1 value creation scenario

Item	Prior Level 1	Revised 1a: assisted funnel	Formula	Revised 1b: closed loop	Formula
Product status	Conceptual	Supported by current beta		Gated on payment integration	
Who completes payment?	Not specified	User		Agent	
Payment revenue	RMB26.4bn	RMB26.4bn	a	Included in closed-loop rate	
Ecommerce lead generation	RMB31.0bn	RMB31.0bn	b	n/a	
Local-service lead generation	RMB11.5bn	RMB8.0bn	c	n/a	
Agent-closed local-service GMV	Not modeled	n/a		RMB0.7tn	d
Monetization rate on agent-closed GMV	Not modeled	n/a		3.5%, midpoint of 2-5%	e
Agent-closed transaction revenue	Not modeled	n/a		RMB24.5bn	f=d*e
Subtotal revenue	RMB68.9bn	RMB65.4bn	g=a+b+c	RMB24.5bn	f
Revised Level 1 total		RMB89.9bn	h=g+f		

Source: J.P. Morgan estimates.

The increase comes from repricing closed-loop local-service volume. In the prior framework, we used a flat 0.5% local-service lead-generation take rate. Management's merchant-economics framing suggests local-service merchants currently pay 10-20% of transaction value to traffic sources. If an agent completes bookings and reduces friction, Tencent could charge materially below that range and still generate meaningful economics for itself and merchants. We therefore apply a 2-5% monetization rate to agent-closed local-service GMV, using 3.5% as the midpoint.

The key assumption is not that every local-service order becomes agent-driven. We estimate RMB0.7tn of agent-closed local-service GMV in 2030, or around 30% of our RMB2.3tn local-service GMV estimate. The build is based on approximately 1.45bn Weixin MAU in 2030, 55% agent access, 40% monthly transaction penetration among agent-enabled users, and roughly RMB2,200 of annual agent-closed local-service spend per transacting user.

The sensitivity is meaningful. At a 2% monetization rate, the closed-loop line contributes RMB14bn and Level 1 totals approximately RMB79bn. At a 5% rate, the line contributes RMB35bn and Level 1 totals approximately RMB100bn.

The practical takeaway is that Level 1 is no longer a single abstract base case. Level 1a is countable today because the product mechanics exist. Level 1b is valuable but still conditional because payment integration has not happened.

Level 2: from platform cooperation to mini-program supply

Last year's Level 2 assumed that Weixin could evolve from a traffic source into a semi-marketplace. The economic logic was attractive: if JD, PDD, Vipshop, and other platforms open up supply to Weixin, Tencent could use AI to expand assortment, optimize product recommendations, and take commission-like economics on a larger GMV pool. The original scenario implied RMB114bn of 2030 revenue.

The weak point was dependency. Level 2 required competitors to give Tencent access to inventory and product supply. That made the scenario economically attractive but structurally fragile.

The June updates improve the quality of the Level 2 assumption without changing the revenue number. Existing mini-program merchants can be migrated into agent-callable skills through Auto Mode. Merchants can rebuild AI-native experiences through Custom Mode. Long-tail supply can also be created through natural-language mini-program generation. This shifts the Level 2 debate from platform bargaining to merchant adoption.

Table 5: Revenue generation potential for Level 2 scenario

Dimension	Prior Level 2	Revised Level 2
Supply source	JD, PDD, Vipshop and other incumbent platforms opening assortment	Mini-program merchants, AI-native mini programs, and AI-generated long-tail services
Key dependency	Platform cooperation	Tencent product policy and merchant adoption
GMV mix	More standardized ecommerce	More local services and long-tail supply
Economics	Commission on routed platform GMV	Potentially higher effective rates where no incumbent platform sits in the middle
Main evidence	Limited at original publication	Auto Mode, Custom Mode, and natural-language mini-program generation
Main risk	Platforms refuse to open up supply	Merchant enthusiasm may fade once Tencent attaches economics to skills placement

Source: J.P. Morgan estimates.

This is a quality change rather than a headline estimate change. We keep Level 2 revenue at RMB114bn but raise the probability to 30% because Tencent now has a more controllable path to supply. Standalone AI app-generation platforms can create supply but generally lack demand. Weixin starts with the opposite advantage: demand, payments, social distribution, merchant relationships, and mini-program infrastructure. AI-generated supply inside Weixin should therefore be more valuable than AI-generated supply in a standalone destination.

We still do not treat Level 2 as proven. Merchant adoption at zero take rate is not the same as merchant adoption after Tencent introduces economics around skills placement, traffic, or conversion. The key signpost is whether merchants continue to participate once Tencent turns agent-callable skills into a monetized distribution layer.

Level 3: keep the blue-sky case, but do not pay for it yet

Last year's Level 3 value creation was the largest scenario: Weixin becomes the dominant top-of-funnel platform for a large share of online consumption, allowing Tencent to capture a meaningful share of merchant lead-generation budgets. The scenario implied RMB426bn of 2030 revenue.

We keep the Level 3 revenue scenario on paper but assign only a 10% probability. The June beta testing of Weixin agent does not provide enough evidence to underwrite funnel dominance. It proves that a product path exists; it does not prove that Tencent can monetize a dominant recommendation layer without damaging the rest of the ecosystem.

The first constraint is advertising cannibalization. If agents complete user decisions more efficiently, users may browse less. That could reduce impression inventory in part of Tencent's ads ecosystem. Management's response is that value should remain inside the ecosystem even if the monetization form changes. We agree directionally, but the replacement revenue stream is not yet proven. Lost ad impressions may not be replaced by equally profitable agent revenue.

This matters because advertising is the earnings engine funding the agent investment phase. Marketing services revenue grew around 20% YoY in 1Q26, with more than half of that growth attributed to ad-tech gains. Video Account ad load also remains around 5%, leaving Tencent with a future ad-load lever. If agent usage begins to pressure advertising revenue per user in agent-enabled cohorts, the long-term agent thesis would start to cannibalize the near-term funding engine.

The second constraint is recommendation neutrality. A dominant commerce agent must recommend products and services. The more important those recommendations become, the more pressure Tencent will face to monetize placement. But if users perceive agent recommendations as pay-to-play, Weixin risks weakening the trust that makes the agent valuable in the first place. The regulatory backdrop also suggests low tolerance for non-neutral steering by national-scale platforms.

For that reason, we treat Level 3 as a conditional scenario. It would require Tencent to show a monetization design that preserves user trust, avoids obvious pay-for-placement behavior, and does not cannibalize the advertising engine faster than agent revenue can replace it.

The RMB383bn difference between the headline Level 3 revenue scenario and the RMB43bn we probability-weight is therefore not discarded upside. It is the value of a trust-preserving monetization model that Tencent has not yet demonstrated.

Cost curve: the near-term gating variable

The 2030 agentic-commerce framework is long-dated, while the 2026 cost curve is immediate. That is why we do not think investors should debate Weixin agent as a near-term EPS contributor. The correct near-term debate is whether Tencent's existing earnings engine can fund the AI investment phase without breaking the multiple.

Table 6: Near-term cost items

Metric	1Q26 / 2026 anchor	Why it matters
New AI product opex	RMB36bn minimum for 2026	Defines the near-term cost floor
Capex	Investor expectation of RMB150-200bn for 2026	Front-loaded investment requirement; above street range would pressure sentiment
Operating profit growth	0-5% in our 2026 estimate versus consensus at 5-8%	Consensus still has less room for AI cost upside
Marketing services revenue	Around 20% YoY growth in 1Q26	Core funding engine for AI investment
Video Account ad load	Around 5%	Gives Tencent a future monetization lever, but management treats it as a last lever
Buybacks	Guided lower than 2025	Capital return is competing with AI investment needs

Source: Tencent 1Q26 earnings call, J.P. Morgan estimates.

The rollout itself is also a cost-control mechanism. Management has described cohort expansion as deliberate rather than open-ended: single-digit millions of users today, then larger cohorts such as 50mn and 100mn users, with different functionality tiers. This allows Tencent to manage the interaction between total inference demand and unit cost per query.

The small-model architecture is important here. Serving frontier-class models to 1.4bn users would not be economically realistic in the near term. A smaller model, supported by larger-model backstops where needed, makes mass deployment more plausible. It also explains our estimate sequencing: assisted-funnel use cases can scale earlier, while closed-loop transactions and more complex Level 2 use cases remain gated.

The risk is asymmetric. If AI opex rises materially above the RMB36bn floor while marketing services slows below the high-teens range, the floor of our 2026 operating profit range is at risk. That would pressure the multiple before investors are willing to pay for 2030 agent revenue.

Valuation: a multiple argument, not an FY26 EPS argument

We remain Overweight with an unchanged HK\$690 price target, based on 21x 2026E PE. We do not add Weixin agent revenue to FY26 forecasts, and we would not ask investors to pay for Level 2 or Level 3 today.

The investment case is more subtle. Tencent already has an ex-AI earnings engine that can fund a multi-year AI investment phase: advertising growth, gaming, mini-program commerce, payments, and operating leverage. The June beta testing of Weixin agent improves visibility into where that investment could lead. If investors begin to view Weixin agent as a staged rollout rather than indefinite optionality, the stock can rerate even without near-term EPS changes.

This is why the six-to-twelve-month call sits in the risk premium. Our fair value implies roughly 60% upside and a rerating from trough levels of around 14x toward 21x 2026E PE. The agent does not need to deliver revenue in 2026 for that rerating to begin. It needs to show that the roadmap is progressing, cost convergence is credible, and Tencent can disclose usage or transaction metrics that make the framework trackable.

What would change our view

The revised framework is useful only if it is verifiable. The key signposts are no longer abstract. They can be observed over the next two to four quarters.

Table 7: Signposts to monitor for our AI agent monetization framework

Signpost	Direction	Estimate at stake	Timing to watch
Weixin agent cohort expands beyond 50mn users with functionality intact	Positive	Supports Level 1 probability and cost convergence	1H27
AI wallet integrates with primary Weixin Pay and checkout confirmations are reduced	Positive	Unlocks Level 1b: RMB24.5bn of 2030 revenue	2027
Agent context window extends beyond the current two-day limit	Positive	Supports complex coordination use cases and the RMB2,200 annual spend assumption	Rolling
Sharing and distribution entry point opens for AI-generated mini programs	Positive	Starts the Level 2 supply flywheel	4Q26-2027
Auto Mode skills migration reaches millions of merchants	Positive	Confirms Level 2 supply availability without platform bargaining	2H26
Tencent discloses agent MAU, agent-originated GMV, or AI revenue attribution	Positive	Converts the framework from estimate-led to disclosure-led	Next two to four quarters
Advertising revenue per user declines in agent-enabled cohorts	Negative	Activates the cannibalization overlay	Quarterly
New AI product opex materially exceeds the RMB36bn floor without usage disclosure	Negative	Threatens the 2026 operating profit floor	4Q26 results
Next model iteration fails to improve agent task completion	Negative	Caps the framework closer to Level 1a	2H 2026
Regulatory guidance restricts agent-intermediated commerce recommendations	Negative	Cuts Level 3 probability toward zero	Rolling

Source: J.P. Morgan estimates.

Key risks

For the agentic-commerce framework specifically, the key downside risks are slower-than-expected user-cohort expansion, failure to integrate AI wallet with primary Weixin Pay, limited merchant adoption of agent-callable skills after monetization begins, deterioration in advertising revenue per user in agent-enabled cohorts, AI opex or capex materially exceeding our assumptions, and regulatory restrictions on agent-intermediated commerce recommendations.

Upside risks include stronger-than-expected adoption of Weixin agent, earlier-than-expected disclosure of agent-originated GMV or AI revenue attribution, successful integration of AI wallet with primary payment, faster migration of mini-program merchants into agent-callable skills, more resilient advertising monetization than we assume, Tencent launching and monetizing successful new games, and a better macro environment to support advertising growth.

Investment Thesis

We view Tencent as a “fundamentals-plus-optionality” story into 2026: core engines (Weixin ecosystem, ads, and gaming) remain resilient, and we expect the AI narrative to matter more than incremental earnings revisions for share-price direction. Tencent has historically taken a measured, integration-first approach to new platform shifts, and we see its GenAI rollout as earlier-stage versus some peers in terms of visible model showcases and standalone app momentum because management appears to prioritize reliability, compliance, and ecosystem fit before scaling. That positioning leaves the stock less “AI-priced” in our view, which creates upside optionality if Tencent demonstrates clear execution and product-market fit in 2026.

Valuation

Our Dec-26 PT of HK\$690 is based on 21x 2026E P/E, at the top end of tier-1 Internet stocks’ current consensus valuation range, given Tencent’s solid operations and the fact that it is well positioned to benefit from GenAI.

Risks to Rating and Price Target

Downside risks to our rating and PT include:

- 1) Further regulatory tightening for games.
- 2) A continued slowdown in the macro economy.
- 3) Inability to launch successful mobile game titles continuously.

- 4) A slower-than-expected ramp-up of mobile ad revenue.
- 5) Video content spend.
- 6) Higher-than-expected investments into new initiatives (e.g., Cloud and Internet finance) due to intensified competition, leading to margin pressure.

Upside risks include:

- 1) Tencent to launch and monetize its new game titles in China.
- 2) A better macro environment to support ads growth.
- 3) Policy support in cloud, business service, etc.

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Tencent (0700) (0700.HK, 700 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
21-Mar-24	OW	288.80	410
15-May-24	OW	381.80	480
13-Oct-24	OW	438.80	520
20-Mar-25	OW	540.00	600
15-May-25	OW	521.00	630
16-Jul-25	OW	517.50	600
14-Aug-25	OW	586.00	685
14-Nov-25	OW	656.00	750
19-Mar-26	OW	550.50	690

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2010. All share prices are as of market close on the previous business day.

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